



# Casper

**Best Bed for  
Better Sleep**

## Team 7

Aishwarya Shetiya

Ashutosh Shimpi

Cody Koo

Lahari Kondreddy

Vignesh Nataraj Harish

Casper®



Casper

# 5C Analysis



## Company

Direct-to-consumer disruptor in the mattress industry

Offers a single, high-quality mattress model

Mission: "Sleep their way to better lives"



## Customers

Target: young, urban, tech-savvy consumers

Preference for convenience and online shopping

Values quality, simplicity, 100-night trial, and easy returns



## Competitors

Big 4: Serta, Sealy, Simmons, Tempur-Pedic. Strong in-store presence, wide product range. Dominates traditional retail with multiple price points

D2C Competitors: Tuft & Needle, Saatva, Leesa. Compete on pricing, convenience. Vary in positioning (e.g., Saatva as luxury, Tuft & Needle as budget-friendly)



## Collaborators

UPS for nationwide free delivery

Local couriers for same-day service in selected cities

Podcasts, radio, and influencers for brand visibility

Partnerships with Stuff You Should Know, Howard Stern, and others



## Context

Operating in a \$14 billion U.S. mattress market

Rising trend of e-commerce convenience

Opportunity to challenge traditional in-store models with online sales

# Market

## Strategies to increase market share -

- **Competitive pricing through D2C model**
- **Hassle-free online shopping experience**
- **Strong word-of-mouth**
- **Flexible, low-cost operations to provide free delivery.**

## Target Segments

## Digitally-Savvy Millennials

- Simplified online buying experience with zero hassle.
- High-quality product at fair, transparent prices.
- Risk-free trial for confident & simpler decision-making.

## Middle-Income Families

- Simplified online buying experience with zero hassle.
- High-quality product at fair, transparent prices.
- Risk-free 100-night trial for confident decision-making.

## Message

- **Disrupting Tradition** - Refreshing, modern alternative to traditional mattress shopping.
- **Empowering Choice** - Seamless online experience with a generous 100-night trial.
- **Affordable Luxury** - High-quality mattresses at fair prices.



THE PERFECT MATTRESS  
FOR EVERYONE

# Options for Sweet Dreams: Where to Next?



## Geographic Expansion

Expand to new markets with subway and outdoor ads

 Broader Reach

 Leverage Strengths

 High Costs

 Research Demands



## Real Environment TV Campaign

National TV ads showcasing real couples

 Wide Audience

 Emotional Appeal

 Expensive

 "Big Mattress" Risk



## Quirky Animated TV Campaign

Bring subway characters to life on screen

 Memorable Branding

 Creative Engagement

 Risk of Alienation

 Animation Skills

## Pros

## Cons

# Key Decision Factors



```
graph TD; A[Key Decision Factors] --> B[Brand Alignment]; A --> C[Audience Reach]; A --> D[Return on Investment];
```

## Brand Alignment

- Distinctiveness to reinforce modern identity.
- Appeal aligns with the demography.
- Consistent, adaptable messaging.
- Supports Casper's approachable brand image.

## Audience Reach

- Broad reach to maximize brand exposure.
- Targeted appeal to engage Casper's ideal audience.
- Strong national visibility to build recognition.
- Potential for cross-platform engagement.

## Return on Investment

- Maximum revenue potential.
- High conversion rates for efficient customer acquisition.
- Cost-effective in generating returns per dollar.
- Builds long-term loyalty and sustainable ROI.

# Best Case Scenario



## Quirky Animated TV Campaign:

- **Ad Format:** 15-second animated ad
- **Tone:** Quirky and engaging, aligned with Casper's brand personality.
- **Goal:** Create a memorable, fast-paced ad that captures attention and strengthens brand recall.

## Measurement of success

- **Media Mix Modelling**
- **Commercial Rating Points (CRP)**
- **Spike in Customer Inquiries and Sales**
- **Mentions on Socials**
- **Usage of coupon code @Checkout**

|                                                | Option 1                                            | Option 2                                            | Option 3                                                 |
|------------------------------------------------|-----------------------------------------------------|-----------------------------------------------------|----------------------------------------------------------|
| <b>Revenue (assuming \$1Mn budget)</b>         | \$2 Mn                                              | \$1.6 Mn                                            | \$2.8 Mn                                                 |
| <b>Cost Efficiency (Revenue per \$1 spent)</b> | \$2                                                 | \$1.6                                               | \$2.8                                                    |
| <b>Brand Alignment</b>                         | <b>Moderate:</b><br>aligns with urban market appeal | <b>Moderate:</b><br>aligns with urban market appeal | <b>Strong:</b> aligns well with Casper's quirky brand    |
| <b>Customer Engagement</b>                     | <b>High:</b> only in key cities, location-focused   | <b>Moderate:</b> high visibility but less targeted  | <b>High:</b> memorable, likely to engage target audience |

# Suggested Execution for the Ad

- **Storyline Ideas:**
  - **Scenario 1:** Cartoon characters unboxing the mattress, humorously showcasing its compact delivery and quick setup.
  - **Scenario 2:** Animated characters using Casper in different fun situations, emphasizing the product's comfort and versatility.
  - **Scenario 3:** making of Casper Mattresses
- Have an **engaging song/music** and some **tagline**.
- **Phone number** at the end of ad for receiving a coupon.
- **Multi-Platform Strategy:** Extend the campaign to social media and digital ads for consistent brand storytelling.



# Conclusion



**Summary:** Casper has a unique opportunity to build its brand love and expand its presence through a memorable, animated TV campaign.

**Final Thought:** By staying true to its innovative spirit, Casper can differentiate itself in a crowded market of similar advertising strategies and solidify its place as the "Nike of Sleep."

# Appendix

# Quantitative Analysis

| Metric                                  | Option 1: Geographic Expansion            | Option 2: National TV Ads (Real Environment) | Option 3: National TV Ads (Animated - Casper Style) |
|-----------------------------------------|-------------------------------------------|----------------------------------------------|-----------------------------------------------------|
| Budget                                  | \$1,000,000                               | \$1,000,000                                  | \$1,000,000                                         |
| CPM                                     | \$20                                      | \$15                                         | \$20                                                |
| Reach (Impressions)                     | 50,000                                    | 66,667                                       | 50,000                                              |
| Conversion Rate (%)                     | 0.5%                                      | 0.3%                                         | 0.7%                                                |
| Projected Conversions                   | 2,500                                     | 2,000                                        | 3,500                                               |
| Projected Revenue                       | \$2,000,000                               | \$1,600,000                                  | \$2,800,000                                         |
| Brand Alignment                         | Moderate: aligns with urban market appeal | Moderate: broader audience appeal            | Strong: aligns well with Casper's quirky brand      |
| Customer Engagement                     | High in key cities, location-focused      | Moderate: high visibility but less targeted  | High: memorable, likely to engage target audience   |
| Long-Term Brand Impact                  | Positive for urban appeal but limited     | Mixed: broad reach may dilute premium feel   | Strong: enhances Casper's unique identity           |
| Cost Efficiency (Revenue per \$1 Spent) | \$200                                     | \$160                                        | \$280                                               |

## 4 P's Analysis

1. **Product:** Casper offers a "One Perfect Mattress" designed to appeal broadly, with high-quality foam, easy home delivery in a compact box, and a 100-night trial. This simplicity and durability position Casper as a modern, no-fuss solution to traditional mattresses.
2. **Price:** Casper is priced mid-range, around 1/3 of premium in-store competitors like Tempur-Pedic. With \$500 for a twin and \$950 for a king, its price reflects affordability for quality, balancing premium appeal without hitting luxury price points.
3. **Place:** Sales are entirely online via Casper.com, emphasizing convenience and eliminating the need for showrooms. Casper also utilizes UPS delivery and localized same-day couriers, with occasional pop-up events in select cities for in-person experiences.
4. **Promotion:** Casper's promotion is unique, leveraging social media, podcasts, and endorsements from influencers and celebrity investors to create buzz. Traditional TV is avoided, with advertising focusing on podcasts, digital ads, and NYC subway ads that appeal to urban, tech-savvy audiences.

# STP

## Segmentation:

- Geographic: Primarily U.S.-focused, with emphasis on urban regions that are receptive to e-commerce and online-first brands.
- Demographic: Targets younger consumers, often millennial professionals who value convenience, affordability, and design. Also, consumers willing to invest in comfort but appreciate discounts.
- Psychographic: Appeals to individuals seeking modern, minimalist home solutions, valuing ease, style, and a low-pressure buying experience.

**Targeting:** Casper specifically targets online-savvy buyers who value direct-to-consumer, hassle-free experiences. Ideal consumers are mid-income earners who appreciate Casper's value proposition of quality for less and are familiar with social media and influencer-driven marketing.

**Positioning:** Casper's quirky animated TV ads will use playful characters to convey the comfort and simplicity of the "One Perfect Mattress" concept. This approach builds brand recognition while enhancing emotional connection, keeping Casper's tone light-hearted and memorable.

# References

- Harvard Business School Case Study: "Casper Sleep Inc.: Marketing the 'One Perfect Mattress for Everyone'", by Robert J. Dolan (HBS Case No. 517-042), detailing Casper's market entry, branding strategies, and competitive positioning.
- Casper Sleep Inc. Corporate Website - Product, brand messaging, and promotional insights obtained from the official website (<https://casper.com>).
- Industry Analysis Reports - Market insights on mattress industry trends and direct-to-consumer brands, sourced from - *U.S. Mattress Market Overview*, providing insights into market size, growth trends, and consumer behavior patterns in the U.S. mattress industry.
- Inc. Magazine - "How Casper Is Transforming the Mattress Industry" ([Link](#))
- Forbes - "Casper: The \$1 Billion Mattress Startup That's Upending The Sleep Industry" ([Link](#))
- Business Insider - "How Casper Became a \$100 Million Startup By Bringing Mattresses Direct to Customers" ([Link](#))
- Fast Company - "How Casper Won the Mattress Wars" ([Link](#))